



CHAPTER xi.

An Act to authorise the South Metropolitan Gas Company A.D. 1916.
to raise additional capital and for other purposes.
[19th July 1916.]

WHEREAS the South Metropolitan Gas Light and Coke Company (now known as the South Metropolitan Gas Company and in this Act referred to as "the Company") were incorporated by an Act passed in the year 1842 for more effectually lighting with gas certain places within the borough of Southwark and other parishes and places in the counties of Surrey and Kent (which parishes and places are now for the most part included in the county of London) and various further powers have been conferred on the Company by subsequent Acts: 5 Vict. sess. 2, c. lxxix.

And whereas by the South Metropolitan Gas Act 1882 (hereinafter referred to as "the Act of 1882") the Company were authorised in lieu of exercising their previously existing powers of borrowing or re-borrowing money upon mortgage to create and issue debenture stock to an aggregate nominal amount not exceeding one-third part of the total capital received from the issue or sale of ordinary shares or stock and were required before raising any further capital by the issue or sale of ordinary shares or stock to create and issue debenture stock equal as nearly as might be in nominal amount to one-third part of the total capital so received at the time and it was provided that the aggregate nominal amount of such debenture stock should at all times thereafter be so maintained as to be as nearly as might be one-third of the total capital received as aforesaid: 45 Vict. c. xxxviii.

And whereas the last-mentioned obligation was (inter alia) continued by the provisions of a scheme made under the authority of the South Metropolitan Gas Light and Coke Company's 39 & 40 Vict. c. ccxxix.

A.D. 1916. — Act 1876 and confirmed by Order in Council in the year one thousand eight hundred and eighty-four for the amalgamation of the Company with the Woolwich Plumstead and Charlton Consumers' Gas Company and the Woolwich Equitable Gas Company:

59 & 60 Vict.
c. ccxxvi. And whereas immediately before the passing of the South Metropolitan Gas Act 1896 (hereinafter referred to as "the Act of 1896") the authorised capital of the Company consisted of five hundred thousand pounds A stock one million three hundred and fifty thousand pounds B stock three hundred and sixty-two thousand five hundred pounds C stock and such further amount of C stock as would produce with premiums the sum of six hundred thousand pounds all of which stocks were entitled to the uniform standard rate of dividend of ten per centum subject to increase or decrease according as the price of gas decreased below or increased above the standard price of three shillings and sixpence per one thousand cubic feet and subject also to certain special provisions as to the rights of the holders of the A stock and the B stock respectively to participate in dividends exceeding eleven per centum:

And whereas at the date of the passing of the Act of 1896 the whole of the said A stock and B stock and three hundred and forty thousand pounds of the said C stock and five per centum debenture stock to the amount of eight hundred and fifty thousand pounds had been created and issued but the remainder of the said C stock had not been issued:

And whereas by the Act of 1896 the capital of the Company as then existing or authorised was converted into one and the same class of ordinary stock to be called and hereinafter referred to as "South Metropolitan Gas Company's stock" entitled to an uniform dividend of four per centum per annum subject to reduction or increase according as the price of gas increased above or decreased below the said standard price of three shillings and sixpence per thousand cubic feet (which standard price has since been reduced to three shillings and one penny):

And whereas the Company were by the Act of 1896 empowered to convert their debenture stock which then bore interest at the rate of five per centum per annum into debenture stock bearing interest at such rate as might be specified in the resolution for conversion being less than five per centum

but not less than three per centum per annum and in exercise of the said power converted in the year one thousand eight hundred and ninety-seven their then existing five per centum debenture stock into a proportionately larger amount of three per centum debenture stock : A.D. 1916.

And whereas between the year one thousand eight hundred and ninety-seven and the date of the passing of the Act next hereinafter recited the Company in exercise of powers vested in them created and issued further amounts of three per centum debenture stock :

And whereas by the South Metropolitan Gas Act 1901 (hereinafter referred to as "the Act of 1901") the Company were empowered to raise additional capital by the creation and issue of South Metropolitan Gas Company's stock and to raise by the creation and issue of three per centum debenture stock any sum or sums not exceeding in the whole one-third part of the amount received in respect of the capital authorised to be raised and at the time actually issued by stock : 1 Edw. 7.
c. clxxxix.

And whereas the issued capital of the Company at present consists of six million six hundred and nine thousand eight hundred and ninety-five pounds of South Metropolitan Gas Company's stock and there has been issued three per centum debenture stock of the Company to the amount of one million eight hundred and ninety-five thousand four hundred and forty-five pounds :

And whereas by virtue of the Act of 1901 the Company have certain unexercised powers of raising money by the creation and issue of further amounts of South Metropolitan Gas Company's stock and of three per centum debenture stock :

And whereas the enactments hereinbefore recited with respect to the proportion to be maintained between the amount of money raised by the issue of ordinary stock on the one hand and the nominal amount of the debenture stock of the Company on the other hand are in some respects inconsistent and their combined effect is not free from doubt :

And whereas with the object of defining in more appropriate terms and without ambiguity the powers and obligations of the Company in regard to the matters last aforesaid and of making provision for the requirements of the Company as to capital

A.D. 1916. expenditure at the present time and in the near future it is expedient that the enactments lastly hereinbefore referred to and the said unexercised powers of creating and issuing capital and debenture stock should be repealed and that the Company should be authorised to raise additional moneys by the creation and issue of South Metropolitan Gas Company's stock or of preference stock or by borrowing on mortgage or by the creation and issue of debenture stock in accordance with the provisions contained in this Act:

And whereas owing to the great increase due to the present war in the cost of the materials used by the Company for the purposes of their undertaking the Company require temporarily additional floating capital which will be released and no longer required when the existing abnormal conditions cease to prevail:

And whereas it is expedient that in order to provide such additional floating capital the Company should be empowered to borrow money on mortgage of their undertaking or to create and issue debenture stock subject to the obligation to repay or redeem such money or debenture stock within a limited period from the date or respective dates of borrowing or issue:

And whereas the Act of 1896 contained provisions as to the mode of issue of ordinary stock and other provisions with respect to the same matter were enacted by the Act of 1901:

And whereas under the said provisions of the Act of 1901 the Company are empowered in the first instance to offer to gas consumers and persons in their employ any ordinary stock proposed to be issued and as regards any unissued ordinary stock which they may decide not so to offer or which having been so offered is not taken by the persons to whom the same is offered are required before offering the same to the holders of any other stock of the Company to offer such stock for sale by public auction or tender at a reserve price not less than the nominal amount thereof and other provisions are enacted as to the mode of disposal of any stock so offered for sale by public auction or tender and not sold:

And whereas in the circumstances which prevail at the present time the Company are unable to dispose of their ordinary stock otherwise than at a price less than the nominal amount thereof and in certain other respects the conditions governing the issue of the ordinary stock of the Company are inconvenient and obsolete:

And whereas it is expedient that the provisions contained in this Act as to the mode of issue of ordinary stock or preference stock of the Company should apply with respect to any such issue after the passing of this Act: A.D. 1916.

And whereas the Act of 1882 contained provisions as to the mode of issue of debenture stock and it is expedient that the said provisions should be repealed and that such issue should be regulated by the same provisions as apply to the mode of issue of ordinary stock or preference stock of the Company:

And whereas it is expedient that the Company should be empowered to raise by the issue of redeemable preference stock or redeemable debenture stock any moneys which they may for the time being be authorised to raise by the creation and issue of preference stock or debenture stock and that the provisions contained in this Act with respect to such redeemable preference stock and redeemable debenture stock should be enacted:

And whereas the purposes of this Act cannot be effected without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows:—

1. This Act may be cited as the South Metropolitan Gas Act 1916. Short title.

2. The provisions of the Companies Clauses Consolidation Act 1845 with respect to the following matters (that is to say):— Incorporation of parts of Companies Clauses Acts.

The distribution of the capital of the Company into shares;

The transfer or transmission of shares;

The remedies of creditors of the Company against the shareholders;

The borrowing of money by the Company on mortgage or bond;

The consolidation of the shares into stock;

The general meetings of the Company and the exercise of the right of voting by the shareholders;

The making of dividends;

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The giving of notices ; and

The provision to be made for affording access to the special Act by all parties interested ;

and Part I. (relating to cancellation and surrender of shares) Part II. (relating to additional capital) and Part III. (relating to debenture stock) of the Companies Clauses Act 1863 as amended by subsequent Acts shall (subject to the provisions of this Act) extend and apply to the Company and the additional capital by this Act authorised to be raised.

Declaring capital and loan capital of Company.

3. The capital of the Company at the date of the passing of this Act consists of the sum of six million six hundred and nine thousand eight hundred and ninety-five pounds South Metropolitan Gas Company's stock and the loan capital of the Company consists of one million eight hundred and ninety-five thousand four hundred and forty-five pounds three per centum debenture stock.

Repeal of unexercised powers of issuing capital and debenture stock.

4. All powers of the Company of raising capital and of raising money by the creation and issue of debenture stock conferred by any previous Act and remaining unexercised immediately before the passing of this Act are hereby repealed.

Additional capital.

5.—(1) The Company may from time to time raise additional capital not exceeding in the whole two hundred and fifty thousand pounds by the creation and issue of South Metropolitan Gas Company's stock or of preference stock or wholly or partially by one or more of those modes respectively :

Provided that it shall not be lawful for the Company to create and issue under the powers of this Act any greater amount of capital than is sufficient to produce including any premium which may be obtained on the sale thereof the sum of two hundred and fifty thousand pounds.

(2) South Metropolitan Gas Company's stock created and issued in pursuance of the powers conferred upon the Company by this section shall form part of the ordinary stock of the Company and be entitled to the uniform dividend of four per centum subject to increase or decrease as provided by the South Metropolitan Gas Act 1900.

Power to borrow on mortgage.

6. The Company may subject to the provisions of this Act borrow on mortgage of their undertaking any sum or sums not exceeding in the whole one hundred thousand pounds and of that sum they may borrow any sum not exceeding in the

whole twenty thousand pounds in respect of each fifty thousand pounds of the additional capital which the Company are by this Act authorised to raise but no part of any such sum of twenty thousand pounds shall be borrowed—

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(A) Until the Company have proved to a justice of the peace before he gives his certificate under the fortieth section of the Companies Clauses Consolidation Act 1845 that the whole of the stock issued for the portion of capital in respect of which the borrowing powers are to be exercised together with the premium (if any) realised on the sale thereof has been fully paid up; or

(B) If and so long as there is outstanding a sum of more than four hundred thousand pounds raised under the powers of the section of this Act of which the marginal note is "Power to raise money temporarily on mortgage or by debenture stock."

7.—(1) The Company may without being required to obtain the certificate of a justice under the fortieth section of the Companies Clauses Consolidation Act 1845 raise any sum or sums not exceeding in the whole five hundred thousand pounds either by borrowing on mortgage or bond or by the creation and issue of debentures or debenture stock. Provided that if at any time before the Company have raised the whole of the said sum of five hundred thousand pounds they have raised any money by borrowing under the powers of the section of this Act of which the marginal note is "Power to borrow on mortgage" or by the creation and issue of debenture stock in respect of such last-mentioned borrowing powers the amount which the Company may raise under the powers of this section shall be reduced by the amount so raised by borrowing or by the creation and issue of debenture stock.

Power to raise money temporarily on mortgage or by debenture stock.

(2) All moneys borrowed on mortgage or bond and debentures issued under the powers of this section shall be repaid or redeemed within seven years from the date or respective dates of borrowing or issue and all debenture stock created under the said powers shall be issued as redeemable debenture stock under the powers of the sections of this Act of which the marginal notes are respectively "Debenture stock" and "Company may issue redeemable preference stock or redeemable debenture stock" but subject to the condition that the period within which such debenture stock shall be redeemed shall be seven

A.D. 1916. — years from the date or respective dates of issue thereof and that the powers of subsections (2) and (3) of the last-mentioned section shall not be exerciseable by the Company with respect to the said debenture stock.

(3) The Company may if they think fit apply in or towards the repayment of moneys borrowed on mortgage or bond under the powers of this section or the redemption of debentures or debenture stock created and issued under the said powers the whole or any part of any moneys raised by borrowing under the powers of the section of this Act of which the marginal note is "Power to borrow on mortgage" or by the creation and issue of debenture stock in respect of such last-mentioned borrowing powers and if and so far as such repayment or redemption shall not be effected by means of moneys so raised the Company shall apply in or towards such repayment or redemption any other funds in their hands available for the purpose.

Debenture stock.

8. The Company may subject to the provisions of this Act and of Part III. of the Companies Clauses Act 1863 create and issue debenture stock but notwithstanding anything contained in the said Part III. the interest of all debenture stock and of all mortgages created and issued or granted by the Company whether before or after the passing of this Act under this Act or any previous or subsequent Act and for the time being outstanding shall subject to the provisions of any subsequent Act rank *pari passu* (without respect to the dates of the securities or of the Acts of Parliament or resolutions by which the stock and mortgages were authorised) and shall have priority over all principal moneys secured by such mortgages.

Repeal of certain existing provisions as to debenture stock.

9. Section 5 (Power to create and issue debenture stock equal to one-third of capital received) of the Act of 1882 section 9 (Power to create and issue debenture stock) of the Act of 1901 and section 24 (Borrowing powers) of the scheme for the amalgamation of the Company with the Woolwich Plumstead and Charlton Consumers' Gas Company and the Woolwich Equitable Gas Company confirmed by Order in Council on the ninth day of September one thousand eight hundred and eighty-four are hereby repealed.

As to mode of issue of stock or debenture stock.

10. Section 7 (Conditions as to issue of debenture stock) of the Act of 1882 sections 9 (Sale of unissued stock) 10 (Stock not sold may be offered to shareholders consumers and employees)

11 (Purchase money to be paid within one month after sale) 12 (Notice to be given as to sale of stock) and 13 (Application of premiums on sales of stock) of the Act of 1896 and sections 6 (Sale of unissued stock) 7 (Stock not sold may be offered to shareholders) 8 (Notice to be given as to sale of stock) and 11 (Incorporation of certain sections of Act of 1896) of the Act of 1901 are hereby repealed and the following provisions shall apply and have effect in lieu thereof :—

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- (1) All stock or debenture stock created under the powers of this Act shall except so far as is otherwise expressly provided by this Act be issued in accordance with the terms of this section :
- (2) All stock or debenture stock so to be issued whether the same be at a premium or not may (with the approval of the Board of Trade to be signified in writing under the hand of an assistant secretary of that Board) if the Company think fit be offered by the Company to all the gas consumers and persons in the employ of the Company at as near as may be the average market price of such stock or debenture stock in the period of two weeks immediately preceding such offer (provided that in no case shall the price at which such stock or debenture stock shall be offered be lower than five per centum below such market price) To ascertain the average market price of the stock or debenture stock for the purposes of this subsection the mean daily prices recorded in the London Stock Exchange daily official list shall be taken for the said period of two weeks :
- (3) Any stock or debenture stock which has not been so offered as aforesaid or which has been so offered to and not taken up by such persons shall before being offered to the holders of any stock or debenture stock of the Company be offered for sale by public auction or tender in such manner at such times and subject to such conditions of sale as the Company shall from time to time determine :
- (4)—(A) Notice of the intention to offer or sell any stock or debenture stock in accordance with subsection (2) or subsection (3) of this section shall be given in writing to the clerk of the London County Council and of every

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local authority having jurisdiction within the district of supply of the Company and to the secretary of the London Stock Exchange at least twenty-eight days before the date of any offer under the said subsection (2) or the day of sale by auction or the last day for the reception of tenders under the said subsection (3) (as the case may be) and shall also be duly advertised once in each of two consecutive weeks in two or more daily newspapers published in London and circulating within the said district:

- (B) A reserve price shall be fixed for the purposes of any such sale by auction or by tender and notice thereof shall be sent by the Company in a sealed letter to be received by the Board of Trade not less than twenty-four hours before but not to be opened till after the day of auction or last day for the receipt of tenders as the case may be:
 - (C) No lot offered for sale by auction in accordance with subsection (3) of this section shall comprise stock or debenture stock of greater nominal value than one hundred pounds:
 - (D) In the case of a sale by tender no preference shall be given to one of two or more persons tendering the same sum and in the case of a sale by auction a bid shall not be recognised unless it is in advance of the last preceding bid:
 - (E) It shall be one of the conditions of sale by auction or by tender that the total sum payable by the purchaser shall be paid to the Company within such period not exceeding three months after the date of the auction or of the acceptance of the tender (as the case may be) as the directors may determine:
- (5) Any stock or debenture stock which has been offered for sale by auction or by tender in accordance with subsection (3) of this section but not then sold may be offered at the reserve price to the holders of ordinary and preference stock or debenture stock of the Company in accordance with the provisions of sections 18 19 and 20 of the Companies Clauses Act 1863 and for the purposes of those provisions as applied by this section the said holders of preference

stock or debenture stock shall be deemed to be stockholders Provided that if the aggregate amount of stock or debenture stock applied for by such holders of ordinary and preference stock or debenture stock exceeds the aggregate amount offered the same shall be allotted to and distributed amongst the applicants as nearly as may be in proportion to the amounts applied for by them respectively: A.D. 1916.

(6) Any stock or debenture stock which has been offered for sale in accordance with (A) subsections (2) (3) and (5) or (B) subsections (3) and (5) or (c) subsection (3) of this section and is not sold may be again offered for sale by public auction or by tender in accordance with the provisions of this section and any such stock or debenture stock then remaining unsold may be otherwise disposed of at such price and in such manner as the directors may determine for the purpose of realising the best price obtainable:

(7) As soon as possible after the conclusion of the sale or sales the Company shall send a report thereof to the Board of Trade stating the total amount of the stock or debenture stock sold the total amount obtained as premium (if any) and the highest and lowest prices obtained for the stock or debenture stock.

11.—(1) The directors of the Company may from time to time notwithstanding the provisions of any Act relating to the Company and without any further authority than is given by this section raise—

(A) By the issue of redeemable preference stock any portion of the capital which the Company are or may be authorised whether under this Act or otherwise to raise as preference capital;

(B) By the issue of redeemable debenture stock any money which the Company are or may be authorised whether under this Act or otherwise to raise by the issue of debenture stock;

subject to the condition that such redeemable preference stock and redeemable debenture stock shall be redeemed by the Company at such times and in such manner and on such terms and

Company may issue redeemable preference stock or redeemable debenture stock.

A.D. 1916 — conditions as may be expressed on the certificates of such preference stock or debenture stock.

(2) It shall be lawful for the directors of the Company from time to time to issue—

(A) New stock whether ordinary or preference (and as regards any preference stock whether redeemable or otherwise) to such amount as may be necessary to provide money for the redemption or purchase of any redeemable preference stock; or

(B) New debenture stock whether redeemable or otherwise to such amount as may be necessary to provide money for the redemption or purchase of any redeemable debenture stock;

or to issue any such new ordinary or preference stock or new debenture stock for the purpose of redemption of or in substitution for any such redeemable preference stock or redeemable debenture stock (as the case may be) The provisions of this or any previous Act relating to the mode of issue of stock or debenture stock of the Company shall not apply to the issue to the holder of any redeemable preference stock or redeemable debenture stock of any such new ordinary or preference stock or new debenture stock by way of redemption of or in substitution for such redeemable preference stock or redeemable debenture stock and such new ordinary or preference stock or new debenture stock may be issued direct to such holder.

(3) The proceeds of any issue under subsection (2) (A) or (B) of this section shall be applied for the redemption at maturity of any redeemable preference stock or redeemable debenture stock for the redemption of which such issue was made but may if the directors of the Company think fit be also at any time applied in the purchase of any such preference stock or debenture stock at a price not exceeding the redemption price and any preference stock or debenture stock so purchased shall be cancelled.

Application
of money.

12. All moneys raised under this Act including premiums shall be applied only to purposes to which capital is properly applicable and any sum of money which may arise by way of premium from the issue of stock under the provisions of this Act shall not be considered as part of the capital of the Company entitled to dividend.

13. Notwithstanding anything in this Act the Company shall not under the powers of this Act raise or borrow any money during the continuance of the present war and twelve months thereafter unless the consent of the Treasury has been previously obtained. A.D. 1916.
Consent of
Treasury to
raising of
money.

14. All costs charges and expenses of and incident to the preparing for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Company. Costs of Act.

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